Supervisory policy documents

When exercising our tasks within the Supervisory legal framework, we use different tools and instruments to communicate our supervisory approach, expectations, analytical assumptions and methodologies, as well as good practices we observe.

Publication type	Purpose	Nature of content	Supervisory role
Guide	Explain how the ECB conducts supervision and what it expects	Criteria, processes, approaches and supervisory expectations – may contain examples of good practice	Forward-looking, non-binding guidance
Letter	Communicate supervisory expectations on specific topics or emerging concerns directly and quickly	Focused messages on specific risks or priorities	Targeted supervisory communication
Methodology	Explain how assessments or analyses are carried out in a supervisory area	Technical frameworks, methods and processes	Transparency and accountability
Report	Highlight and focus on effective practices observed in banks in a supervisory area Present results of a targeted supervisory review	Illustrative examples of sound practices and/or findings and analysis from a specific exercise	Benchmarking and learning, ex post analytical reporting

Guides

Supervisory guides are developed and published when the ECB intends to communicate supervisory expectations to the banking industry.

ECB supervisory guides

These expectations are non-binding statements issued by the ECB to help banks apply the relevant regulatory framework. They aim to enhance banks' safety and soundness by promoting appropriate risk management and adequate risk coverage, and they serve as a basis for supervisory dialogue. The ECB's objective when issuing guides is to foster transparency and make our supervisory actions more predictable.

Supervisory guides may provide transparency on:

- the processes applied by the ECB in carrying out its supervisory tasks, to the extent that these processes are relevant for banks or the public when they need to interact with the ECB (for example as concerns licensing, internal models or risk management)
- how the ECB intends to apply the relevant provisions of Union law (for example, on key supervisory or market-wide topics, such as the treatment of non-performing loans or bank governance), in light of the applicable European Banking Authority Guidelines and following the definitive interpretation given by the Court of Justice of the European Union, where available
- what the ECB expects from supervised banks when applying those provisions

Supervisory guides do not establish binding obligations; these are solely created by the legislator. However, it is common for supervisory guides to reference binding legislative obligations. The purpose of this approach is to bring together in a single document the relevant rules and the way in which the ECB intends to apply those rules when exercising its supervisory tasks, making it easier for readers to access the relevant framework.

The supervisory expectations included in ECB guides are also not binding. Rather, they can be considered as a starting point for interaction and dialogue with banks. This dialogue is always conducted on a case-by-case basis and in line with the principle of proportionality. Therefore, the guides do not exclude the possibility of a different approach in specific cases.

Letters

Supervisory letters may be addressed to the management of supervised banks and published on our website when the ECB intends to convey non-binding supervisory guidance or expectations on specific limited issues and to clarify supervisory views, processes or concerns around these issues. This often occurs in response to emerging risks or market developments which necessitate swift guidance.

Methodologies

Public methodologies may be used to explain the methods, frameworks and technical approaches used by the ECB, particularly in areas such as supervisory assessments (e.g. Supervisory Review and Evaluation Process (SREP) methodology), statistical compilation and data production. They describe how assessments, data production or analyses are carried out, and explain the technical basis underpinning ECB outputs or supervisory processes. They do not include supervisory expectations.

Good practice reports

Thematic reports

These reports identify, describe and illustrate practices observed by supervisors that are considered effective or robust. They are based on observations from supervisory work, peer comparisons or thematic reviews for informational purposes. Their goal is to help banks reflect on possible ways to strengthen their own risk management and governance frameworks. Good practices depend on the context of each bank, and not all good practices are relevant to all banks.

These are one-off publications presenting the outcomes of targeted supervisory reviews. They typically focus on a specific risk, practice or supervisory theme (e.g. credit underwriting standards, recovery plans, risk data aggregation) and summarise the findings of a defined supervisory exercise carried out across a group of supervised institutions (e.g. SREP report). They are analytical outputs based on completed supervisory work and systemic assessments of compliance or deficiencies.